

How do you handle a losing streak?

I believe that you should always be swinging the bat. The question is when do you choke up on the bat. When I am in a drawdown, I will choke up on the bat—I reduce my position size. When I am more attuned to the market and playing with market money, I will increase my position size. But I never stop trading. In 30 years of trading, I bet you could count on one hand the times I have been completely flat.

How do you manage that and still take vacations?

I always time my travel for when the markets are closed. I still follow the markets when I am on vacation. I might trade in the morning and ski in the afternoon. Although this is not necessarily a good thing, I even get up several times every night to check the markets.

Do you set your clock or do you wake up naturally?

I wake up naturally. Sometimes I see something and realize that I have to respond immediately, and I have to get out of bed. Sometimes, however, waking up to look at the markets works with my subconscious. Some of my best trades have come from looking at the quotes on my iPhone when I wake up at night and thinking, *This doesn't look right*, and then going back to sleep. Then I wake up the next morning, and I realize that I shouldn't be in a certain trade. For example, I might think, *U.S. equities were strong, and the yen was down. The Nikkei should have been higher last night, and it didn't go up. Something is wrong; I should be short.*

What do you think is the biggest mistake people make in the markets?

Looking to outside sources for guidance in their positions. The belief that you can watch CNBC and get useful advice is very misguided. You really have to formulate your own opinion and not rely on so-called experts.

Do you ever have friends ask you for advice on trading?

Yes, once in a while.

Well, what advice do you give them?

I tell them that it's not about being right; it's about making money. Taking a loss is part of the process. You will have some percentage of